BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Yukari Saegusa – Cost of Capital Panel

Yukari Saegusa
4 Irving Place
New York, New York, 10003

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
YUKARI SAEGUSA/COST OF CAPITAL
REBUTTAL TESTIMONY

Table of Contents

I. PURPOSE OF TESTIMONY 2
II. REBUTTAL 3
A. Capital Structure 3
B. Cost of Debt Adjustments 5
C. Return On Equity 10
III. CONCLUSION 20

I. PURPOSE OF TESTIMONY

Q. Please state your name.

A. Yukari Saegusa.

Q. Have you previously submitted testimony in these proceedings?

A. Yes. I previously submitted direct testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison," "CECONY" or the "Company") in these proceedings.

Q. What is the purpose of your rebuttal testimony?

A. My testimony responds to certain statements contained in: (1) the direct testimony submitted by the New York State Department of Public Service Staff Finance Panel ("Staff Panel") and (2) direct testimonies submitted by William D. Yates of The Public Utility Law Project of New York, Inc. ("PULP"), Andy Anderson of New York Energy Consumers Council, Inc. ("NYECC"), and Member of the Assembly ("MOA") Chris Burdick.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically in this testimony, the positions stated therein should not be

viewed or considered to have been accepted by the Company.

II. REBUTTAL

Q. Please describe how your rebuttal testimony is organized.

A. My rebuttal testimony is organized as follows. First, I address the Staff Panel's discussion of the Company's capital structure and their calculation of a hypothetical equity ratio. Second, I discuss the Staff Panel's proposed adjustment to the Company's debt costs. Third, I discuss the Staff Panel's ROE recommendation, as well as that of PULP and MOA Burdick.

A. Capital Structure

Q. What was the Staff Panel's conclusion regarding the Company's proposed capital structure with a common equity ratio of 48.00% and how did it arrive at its conclusion?

A. The Staff Panel agreed with the Company's proposal to use a capital structure with a common equity ratio of 48.00% but differed on the methodology of how that level was determined. Whereas the Company based its

proposal on its stand-alone capital structure, the Staff Panel based its recommendation on the Company's stand-alone capital structure only after considering the consolidated capital structure of the Company's corporate parent, Consolidated Edison, Inc. ("CEI"), and its financing practices.

Q. While the Company proposed a capital structure with an equity ratio of 48.00%, would a higher equity ratio have been fair and reasonable?

A. Yes. The Company continues to believe that an equity ratio of 50.00% would be appropriate as it would support a stronger credit profile and would be in-line with the national average of 50.94% in 2024 and 49.48% for year-to-date 2025 for utility operating companies.

Q. How would a 50.00% equity ratio potentially impact the Company's credit profile?

A. A 50.00% equity ratio would be an important signal of the credit supportiveness of the New York State Public Service Commission ("Commission") to the credit rating agencies. The credit rating agencies' assessment of regulatory framework is an important component of their rating methodology. For example, Moody's applies

a 25% weighting to regulatory framework in its rating methodology. In addition, a higher equity ratio will result in stronger credit metrics for the Company. A benefit of a stronger credit profile is that it could result in lower financing costs for the Company.

Q. If an equity ratio of 50.00% is more appropriate why did the Company propose 48.00%?

A. The Company proposed a lower equity ratio to limit the number of contentious issues in order to reach a settlement in these proceedings, as well as to address customer affordability concerns.

B. Cost of Debt Adjustments

Q. The Staff Panel's 4.79% cost of long-term debt for the Rate Year is one basis point different than the 4.78% that the Company requested. The Staff Panel used a different methodology to calculate the cost rate. Do you have any comment on the Staff Panel's methodology for calculating this rate?

A. I disagree with the Staff Panel's reliance on the most recent actual Treasury yield as opposed to the forecasted Treasury yield. As stated in my direct testimony, the most recent actual Treasury yield is

not the most accurate indicator of future long-term interest rates. A forecast of future interest rates, such as the consensus estimates contained in Blue Chip Financial Forecast, better reflects CECONY's anticipated cost of long-term debt. Blue Chip Financial Forecast is a reasonable effort by expert economists, employing the economic tools available to them, as well as their own experience, to forecast interest rates. The mean forecast as developed by approximately 40 professional prognosticators provides a more comprehensive basis for setting long-term interest rates one to three years forward than a single data point observed on a single day as the Staff Panel recommends, particularly during the current period of increasing volatile rates and economic and geopolitical uncertainty.

Q. Do you have any other concerns with the Staff Panel's recommendation to use current interest rates in setting the cost rate for long-term debt?

A. Yes. Reliance on current interest rates in setting cost rates is inconsistent with the Commission's overall approach to establishing cost of service. The

principle embedded in the regulatory construct makes use of a forecasted test year and relies on projections for many elements of the revenue requirement. To choose current interest rates in setting long-term debt cost rates is inconsistent with that principle and with other aspects of the Staff Panel's recommendation.

Q. Would you accept the fixed-rate debt interest cost true-up proposed by the Company's Accounting Panel in its direct testimony as an alternative mechanism to account for expected changes in interest rates?

A. Yes. Because I believe reliance on current interest rates will inadequately reflect the Company's cost of issuing new long-term debt, a true-up would allow the Company to defer the incremental costs for future recovery or return the difference to customers for long-term debt issued during the Linking Period and the Rate Year.

Q. In its direct testimony, the Staff Panel rejected the proposal for a fixed-rate debt interest true-up on the basis that market volatility as measured by the Chicago Board Options Exchange Volatility Index (the

"VIX") was not sufficient to warrant a true-up. Do you agree with that statement?

A. No. While the VIX is currently close to the 34-year average, the Staff Panel is incorrect in implying that this indicates a lack of volatility. The VIX was as high as 52.33 as recently as April 2025, itself a 257% variation to the average cited in the Staff Panel's testimony. Instead of simply looking at the average VIX for each month and taking the average of that over an extended period of time, it is more useful to examine the variances between the high and low VIX measurements for each month. In just the past year, the average gap between the high and low measurements for each month was 40.39, which implies a window of volatility of 207% around the long-term average (*see* Exhibit_(YS-19)).

Q. The Staff Panel acknowledged that there had been heightened volatility in connection with the federal government's imposition of tariffs on foreign imports but indicated that this volatility, while higher than normal, is not extraordinary compared to historical periods (*e.g.*, during COVID-19 pandemic or during the

2008 financial crisis). Additionally, the Staff Panel suggests that the higher than normal volatility during the April 2025 time period has subsided. Do you agree with that assessment?

A. No. The federal government has shown a steady pattern over the past several months of imposing, amending, or even rescinding tariffs both against entire countries and against particular lines of business. Most recently, on May 31, 2025, the federal government imposed new tariffs on imports of steel and aluminum. There is no indication that this pattern of trade uncertainty and potential market volatility will cease any time soon.

Q. Are tariffs the only factor driving recent market volatility?

A. No. The market has been impacted by many other factors such as the President’s negative comments regarding Fed Chairman Powell’s reluctance to cut interest rates; geopolitical conflicts between Russia/Ukraine, India/Pakistan and most recently Israel/Iran; a downgrade of the U.S. credit rating by Moody’s; and general concerns about a global economic slowdown.

Q. You pointed out in your direct testimony that the Staff Panel has authorized similar fixed-rate true-ups in rate cases involving other utilities. How did the Staff Panel respond?

A. The Staff Panel rejected that comparison on the basis that it came about as a result of negotiations for joint proposals and therefor did not constitute "precedent".

Q. Do you agree with this position?

A. No. Regardless of whether the Staff Panel authorized fixed-rate true-ups for only some utilities as a result of negotiating joint proposals or whether they established a universally applicable "precedent", the fact that it has been authorized by Staff indicates that the Staff Panel judged that it provided at least some benefit to ratepayers and protected those utilities from volatility in interest rates that were beyond their control.

C. Return On Equity

Q. How have you structured the discussion in this section?

A. I will first discuss the Staff Panel's discounted cash flow ("DCF") model methodology. Then, I will discuss the Staff Panel's capital asset pricing model ("CAPM"). Then, I will discuss the Staff Panel's methodology of weighting the DCF and CAPM results in its formulaic approach to calculating ROE. Finally, I address the Staff Panel's comments regarding their recommended ROE.

Q. Do the results of the Staff Panel's DCF methodology for estimating equity returns produce fair returns on the book equity invested in the Company during the Rate Year?

A. No, they do not. Because Company witness Nowak's rebuttal testimony identifies and discusses several of the problems with the Staff Panel's application of the DCF methodology, I will confine my comments to the Staff Panel's over-reliance on its particular version of the DCF methodology.

Q. In defending the Staff Panel's reliance on its DCF methodology, the Staff Panel quotes (p. 124) the Commission's Order in Case 08-E-0539:

> …the DCF relies on readily available data to make objective estimates of investors' return requirements.

Does the Staff Panel's DCF methodology rely on observable, objective data?

A. No. The DCF methodology for estimating returns on equity is heavily dependent on factors such as dividend growth estimates, for both the near-term and the distant future, which are neither observable nor objective. The Staff Panel's dividend growth estimates are based on a lone source, *Value Line*. This firm is one among many providers of financial estimates, and the Staff Panel has not provided any evidence that *Value Line's* estimates are better researched, more historically accurate, or more closely followed by institutional investors than any other source. The Company believes that multiple sources of financial estimates should be considered in order to limit the potential forecast bias from relying on a single source. The long-term dividend growth estimates are based on a method that requires an estimate of the rate of return, which is then used to calculate a rate

of return, without regard for whether the input rate of return is consistent with the calculated rate of return that results. There is no reason to believe that the DCF methodology, and, in particular, the Staff Panel's version of this methodology, is inherently superior to other methodologies for estimating fair returns to book equity capital.

Q. Please comment on the Staff Panel's CAPM analyses.

A. I direct you to the rebuttal testimony of Company Witness Nowak in which he identifies various flaws with the Staff Panel's CAPM analyses.

Q. Please comment on the Staff Panel's methodology of weighting the DCF and CAPM results in its formulaic approach to calculating ROE.

A. The Staff Panel has historically given the DCF a two-thirds weighting and CAPM a one-third weighting when calculating ROE.

Q. Does the Company agree with this method of weighting DCF and CAPM?

A. No. The Company believes that a weighting of one-half DCF and one-half CAPM is a more effective measure for calculating ROE under a formulaic approach. This

weighting is more consistent with the approach used by other regulatory agencies like the Federal Energy Regulatory Commission and the Surface Transportation Board. I direct you to the rebuttal testimony of Company witness Nowak for a more detailed response regarding the Staff Panel's methodology of weighting the DCF and CAPM results in its formulaic approach to calculating ROE.

Q. Do you agree with the Staff Panel's view (p. 39) that the 10.00% ROE requested by the Company is "excessive" and should be rejected?

A. No. Rational equity investors expect regulated utilities to have authorized equity returns that are commensurate with their risk. New York State utilities' ROEs are among the lowest in the country (see Exhibit__(YS-7)). The Staff Panel points (p. 138) to New York's "risk reducing regulatory mechanisms" as a differentiating positive factor for investors, notwithstanding the low ROEs generated by the Staff Panel's ROE model. The Staff Panel, while agreeing that none of these mechanisms are unique to New York, argues that it is distinctive in that it offers them

more extensively than most other jurisdictions. While New York may offer more mechanisms than other jurisdictions, other states that feature similar regulatory recovery mechanisms offer higher ROEs. While the equity research community appreciates certain elements of New York's utility regulation, including mechanisms through which a utility can earn its ROE, the authorized ROE is itself a highly visible measure that the average rational investor uses to compare utilities when making investment decisions. Based on this measure, a rational investor reasonably expects a ROE at or higher than the Company's currently authorized ROE.

Q. Do equity research analysts compare the respective state regulatory regimes to assist equity investors in evaluating potential utility investments?

A. Yes. In my direct testimony, I noted that in its July 2024 report "North American Power and Utilities Updating Valuation and Regulatory Rankings." (See Exhibit __(YS-16)), UBS's utility equity research analyst makes such comparisons to determine the investor quality of each North American utility regulatory regime. I also noted

that in their 5-tier ranking of state regulatory regimes, New York was ranked in the lowest or fifth tier out of five at that time.

Q. How did the Staff Panel respond to this information in their testimony?

A. The Staff Panel did not comment directly on the lower tier ranking but chose instead to focus selectively on a few of the positive aspects mentioned in the report. These include the fact that UBS regulatory ranking spreads have narrowed, implying that New York, despite being in the lowest tier, is closer to other regulatory environments.

Q. Since the time of your direct testimony, have any additional equity research reports been published that rank utility commissions?

A. Yes. Wolfe Research published a report titled, "Wolfe Smart Utility Vehicle (SUV)", on March 10, 2025 (See Exhibit (YS-20)). In this report, Wolfe Research analysts ranked various utility commissions with ratings of "Most Constructive", "Above Average", "Average", "Below Average" and "Least Supportive". Wolfe Research's criteria include mechanisms to

mitigate regulatory lag, allowed ROEs relative to national average, and other items. Wolfe Research's analyst was ranked #1 in the most recent Institutional Investor Magazine rankings (2024).

Q. How did Wolfe Research rank New York State?

A. Wolfe Research ranked New York State in the "Below Average" category, the second lowest, despite the Staff Panel's argument that New York State regulation provides a myriad of benefits that, in its entirety, is only available in a few other jurisdictions.

Q. Is Wolfe Research a credible source of information regarding the utility sector?

A. Yes. Steve Fleishman, the primary Wolfe Research analyst, is the number one ranked equity analyst by Institutional Investor, now known as Extel ("II"). II rankings typically refers to the rankings which surveys institutional investors to assess the quality of sell-side research and brokerage firms. These rankings are based on feedback from buy-side analysts and portfolio managers and are used to identify the best analysts and firms in various sectors and regions.

Q. Did other parties comment on the Company's proposed 10.00% return on equity?

A. Yes. PULP made statements opposing the Company's equity ratio in its testimony.

Q. Did PULP offer reasons for its opposition?

A. PULP stated that from 2010 to 2024, net of earnings sharing, Con Edison customers were burdened by delivery rates incorporating fixed ROEs exceeding the costs of equity.

Q. Did PULP offer an alternative ROE proposal?

A. Yes. PULP recommends that any multi-year settlement include an annual true-up of the Company's ROE to the DPS Staff's ROE model for each year. PULP also recommends a deferral of revenues for ROEs greater or less than the true-up ROE and an additional deferral of revenues subject to sharing with customers because they were derived from actual ROEs exceeding true-up ROE.

Q. What is the Company's response to PULP's recommendations?

A. The Company maintains that an ROE of 10.00% is appropriate for both the Company's electric and gas

businesses. As described in more detail in the rebuttal testimony of Company Witness Nowak, PULP does not advance credible reasons for an ROE true-up mechanism.

Q. Do you wish to address any other parties' ROE recommendations offered in these proceedings?

A. Yes. MOA Burdick stated that the Company's proposed ROE of 10.00% was not supported by current market conditions and cited ROEs from several past proceedings as precedent.

Q. Do you agree with MOA Burdick's analysis?

A. No. It is worth noting that since MOA Burdick's "precedents" all date from 2016 to 2020, they are not representative of current market conditions. For instance, he cites to an 8.8% ROE approved in a 2018 Central Hudson Gas & Electric Company ("Central Hudson") rate case decision (Case 17-E-0459) while ignoring the more recent 9.50% ROE granted in 2024 to Central Hudson in Cases 23-E-0418 and 23-G-0419.

Q. Are there additional comments from other parties that you wish to address?

A. Yes. Both MOA Burdick and NYECC mention that the Company has the ability to access capital funding on favorable terms and NYECC's Mr. Anderson goes further to state that he is not concerned that utility equity investors could be dissuaded from investing in CEI if the Commission does not grant the Company its requested rate increases. Fixed income investors predicate their long-term investments in the Company's debt based on expectations of a positive working relationship between the Company and the Commission. If the Company is not granted rates that are commensurate with the level of risk borne, investors would likely seek alternative investment opportunities. While this may not lead to a lack of access to capital for the Company, it would likely result in a higher cost of capital that would ultimately be passed on to ratepayers.

III. CONCLUSION

Q. Please summarize your rebuttal testimony concerning the Staff Panel's comments on allowed returns and risk.

A. In my rebuttal testimony I have identified numerous flaws in the Staff Panel's direct testimony because it does not present a complete and accurate analysis of the Company. The Staff Panel's direct testimony proposes returns that continue to be below the industry average. The Staff Panel's low recommended ROE along with other factors contained in its presentation further increase the regulatory risk the Company faces. As the Staff Panel acknowledges (p. 8) in its direct testimony, a fair rate of return for a regulated utility is one that enables it to provide safe and adequate service to its customers, while at the same time assuring it continuing support in the capital markets for both its debt and equity securities, at terms that are reasonable given the company's risk. The Staff Panel's proposal regarding rate of return fails to comply with these criteria.

Q. Does this conclude your rebuttal testimony?

A. Yes, it does.